

Is Your Bank's Insurance Exam-Ready?

10 questions to check whether your community bank's insurance program is ready for your next exam

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Examiners are asking community banks harder questions about their cyber insurance. They don't want to know whether you have insurance, but whether the board understands what this insurance covers. Whether the limits are aligned to your risk assessment. Whether the policies (cyber, fidelity bond, D&O) work together when a wire fraud or a vendor outage hits.

Most community banks cannot confidently answer these questions, as the answers are hidden in the policy language, 50+ pages of definitions and exclusions.

They are also not hidden in one policy. Several of the questions below cannot be answered from the cyber policy at all. They need the fidelity bond and the D&O read alongside it, because the gap usually sits in the space between two policies rather than inside either one.

These ten questions are a quick checklist, drawn from the analysis I do in my Risk Intelligence Report. If you can answer all ten, your program is in good shape. If you cannot, you know where the gaps are.

Review each question and mark whether you can answer it from your actual policy language, not from a renewal summary or coverage overview, which typically describe what was purchased, not what is excluded.

1 BOARD GOVERNANCE

QUESTION 01

Has your board reviewed what the cyber policy covers and excludes, not just approved the premium?

Cyber insurance is the area examiners are scrutinizing most. They want evidence of board-level coverage review, not broker reliance.

☐ Yes ☐ No ☐ Not Sure

QUESTION 02

Is there a documented rationale connecting your coverage limits to your risk assessment?

A \$1M cyber policy on a \$500M bank will draw examiner questions.

☐ Yes ☐ No ☐ Not Sure

2 POLICY COVERAGE

QUESTION 03

Does your fidelity bond's social engineering sublimit reflect your wire transfer volume?

Check fraud hits you more often, but it mostly sits below your deductible and gets absorbed as an operating loss. Wire fraud is the one that clears the deductible and lands on a sublimit, which makes it the loss your bond is actually asked to pay. Many bonds carry sublimits that have not been adjusted for current transaction volumes. Ask your broker whether eCrime was ever quoted on the cyber side. Hardly any cyber carrier writes wire fraud coverage for a financial institution, and on every bank program I have reviewed those agreements were absent, leaving the bond to carry the whole loss with nothing behind it.

☐ Yes ☐ No ☐ Not Sure

QUESTION 04

After a data breach, which policy covers your directors' personal liability. Are you sure?

If the D&O excludes cyber-related claims, the answer is the cyber policy, where your directors are almost certainly named as insureds. Most boards do not know that, because it lives in the definitions section rather than the coverage grants. What they also do not know is what that costs them. On the D&O, the board has a policy of its own. On the cyber policy, the board is competing with forensics, notification and business interruption for the same limit, and the breach spends it first.

☐ Yes ☐ No ☐ Not Sure

QUESTION 05

If your core banking vendor went down for a week, would your cyber policy cover the lost income?

Most banks depend on a single core platform. Check whether your dependent business interruption coverage applies to vendor outages, and whether the sublimit covers a realistic scenario.

☐ Yes ☐ No ☐ Not Sure

QUESTION 06

Does your wire verification procedure match what your bond requires, word for word?

Most bonds condition social engineering coverage on a call back to a pre-established number, above a stated dollar threshold, with a record kept. That is a condition precedent. If the verification did not happen, did not happen the prescribed way, or cannot be evidenced afterward, the carrier declines, and it does not have to show the call back would have stopped the loss. Pull the endorsement, read the threshold and the required method, and compare it to what your wire desk actually does. This is the one item on this list that costs nothing to fix.

☐ Yes ☐ No ☐ Not Sure

QUESTION 07

Your bond has two coverages that could pay a wire fraud loss. Do you know the gap between them?

Find your computer fraud or electronic crime limit on the declarations page, then find your social engineering or false pretenses limit. On most bonds I review, the first is ten to twenty times the second. Which one pays is settled after the loss, by forensics, on whether the attacker got into a system or simply sent a convincing message. Same money gone either way, and a recovery that can differ by millions. A federal court has already held the two mutually exclusive, capping a \$593,000 loss at a \$100,000 sublimit.

☐ Yes ☐ No ☐ Not Sure

QUESTION 08

Have you compared your carrier's security warranty requirements to your most recent IT audit?

If your IT environment does not match what you warranted on the insurance application, the carrier can deny the claim.

☐ Yes ☐ No ☐ Not Sure

3 POLICY INTERACTIONS

QUESTION 09

When an examiner starts asking questions after an incident and names a director personally, which policy pays that director's lawyer before anything formal is filed?

Your cyber policy almost certainly covers the bank's own regulatory defense, usually at full limit. The gap sits one step to the side. On every program I have reviewed, the D&O either caps pre-claim investigative costs at a token amount, makes them available but nobody bought them, blocks them with the cyber exclusion, or does not offer them at all. Check your declarations for investigative costs or pre-claim inquiry coverage, then check whether the cyber exclusion reaches it.

☐ Yes ☐ No ☐ Not Sure

QUESTION 10

Has anyone mapped the exclusions across your cyber, bond, and D&O policies to find where conditions and carve-outs compound?

Each policy's exclusions create gaps the other two will not fill. Without reading them together, you will not see the seams.

☐ Yes ☐ No ☐ Not Sure

If some of these questions were hard to answer, that is common. I find similar gaps at community banks using different carriers. None of these questions can be answered from reading just the declarations page. They require a thorough analysis of the policy language.

A **Risk Intelligence Report** answers all ten of these questions for your specific policies, and more. It reads your cyber, bond, and D&O policies together, maps which policy responds to common cyber scenarios, identifies the gaps, and suggests how to fix them, with specific language and estimated costs. You get board-ready documentation before your next examination.

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